Brain Interacts

WHITEPAPER

They're Not Afraid of Your Price

They're afraid of being wrong. Why B2B deals stall, and how to price for the real decision.

The Behavioral Enterprise Series

Brain Interacts

Written for

CEOs · CROs · Sales Leaders · RevOps · Product Marketing

AT A GLANCE

Four ideas in one page

The problem

Deals stall, discounts grow, and buyers compare you on price alone. Most sales teams respond by cutting the price further.

The insight

B2B buyers are not weighing value. They are managing career risk. The question in their head is not 'Is this worth it?' but 'Will I be blamed if this goes wrong?'

The move

The Value Framing Playbook: five honest ways to present price that make the decision feel safe, clear and defensible.

The payoff

Shorter sales cycles, smaller discounts and larger deals, without a single misleading number.

THE QUESTION BEHIND EVERY DEAL

"If this goes wrong, will it be my name on it?"

THE SCENE

The meeting you're not in

Meera is head of operations at a mid-sized logistics company. For three months she has championed your platform. She sat through the demos, ran the trial, and convinced her team. The deal is worth ₹60 lakh a year.

Now she has to take it to the CFO, who missed every demo. She has ten minutes. Your proposal is a 22-page deck with three pricing plans, four add-ons and a 12% 'early commitment' discount.

THE CFO ASKS

'Why not the cheapest plan?'

THEN ASKS

'What happens if we wait a quarter?'

Meera doesn't have a crisp answer to either. The decision is deferred. The deal does not die. It just stops moving.

The most important sales conversation happens in a room you're not in, led by someone who isn't on your payroll.

Meera wasn't worried about the price. She was worried about recommending something she couldn't defend. That fear is what most pricing strategies ignore.

THE SCIENCE

How buyers actually decide

Gartner research finds that a typical B2B purchase involves a buying group of **six to ten people**. Each one is asking the same private question: if this goes wrong, will it be my name on it? Four well-researched patterns shape their answer.

Anchoring

Tversky & Kahneman, 1974

The first number sticks

The first figure people see anchors every estimate that follows. Lead with a discount, and the discounted price becomes the reference point for the whole negotiation.

Coherence

Ariely, Loewenstein & Prelec, 2003

Early anchors shape everything after

Once people accept an initial value, even an arbitrary one, their later judgements follow it consistently. Get the first number wrong and every later conversation inherits the mistake.

~2×

Kahneman & Tversky, 1979

Losses hurt more than gains please

Prospect theory shows that a loss feels roughly twice as painful as an equal gain feels good. 'You are losing ₹5 lakh a month' moves people faster than 'You could gain ₹5 lakh a month.'

Context

Huber, Payne & Puto, 1982

Comparison drives choice

The options placed beside a choice change how attractive it looks. Buyers judge plans relative to each other, not in isolation.

Add these together and the picture is clear. A buyer facing a confusing, discount-led proposal has no anchor for value, no clear comparison, and no sense of what delay costs. Waiting is the safest move. So they wait.

> *When a decision feels risky, doing nothing feels safe. Your real competitor is the status quo.*

THE COST

What it costs you

WHAT YOU SEE IN YOUR PIPELINE	WHAT IS DRIVING IT
Discounts offered early and growing over the cycle	Your first number set a low anchor
Deals stuck at the approval stage for weeks	Too many choices; waiting feels safer
Your recommended plan rarely sells	Buyers lack a clear comparison
Buyers compare you with rivals on price alone	No reference point for the value of the problem solved

Every row is a revenue leak. Early discounts compress margin on every renewal that follows. Stalled deals push revenue into later quarters, and some never arrive. A sales team that responds by cutting price further only deepens the problem.

WHERE IT BREAKS

Three layers, three blind spots

	What they see	What they miss
Leadership	Falling deal sizes and rising discounts	**That the cause is presentation, not price**
Sales managers	Reps who need discount approval to close	**That reps reach for discounts because they lack a better tool**
Sales reps	A buyer pushing back on price	**That the buyer is asking for reassurance, not a lower number**

Corporate Brain, our behavioral and workforce analytics platform, helps revenue leaders see how their sales teams actually behave under pressure, such as who discounts early and who holds value, so coaching targets the real habit rather than the final number.

THE FIX

The Value Framing Playbook

Every rule below is about presenting true information more clearly. None of it requires a misleading number.

ANCHOR

Start with the cost of the problem

Open with what the buyer's problem costs today, then show your full solution. The price is now judged against a real loss, not against zero.

COMPARE

Make the comparison obvious

Design plans so that the one you recommend is clearly the best fit beside the alternatives. Every plan must be a genuine option a customer could sensibly buy.

DELAY

Show the cost of waiting

Express the return as what each month of delay costs, not just what success could bring. People act faster to stop a loss than to chase a gain.

CONTRAST

Compare with the real alternatives

Set your price beside the true cost of building it in-house or keeping things as they are. That is the comparison the CFO will make anyway.

EQUIP

Write the one-page brief for the CFO

Give your champion a single page that answers the three questions every approver asks. You are not selling to Meera. You are equipping her.

- Why this?
- Why now?
- Why not the cheapest option?

PROOF THAT IT WORKS

Nexus Cloud

A composite illustration based on B2B software pricing redesigns. The company is fictional.

Nexus Cloud, an enterprise software provider, averaged 35% discounts and long sales cycles. It tested two proposal formats across its mid-market sales teams.

GROUP A

Standard format, starting with the cheapest plan

GROUP B

The Value Framing Playbook

MEASURE	GROUP A: STANDARD	GROUP B: VALUE FRAMING
Average deal size	$42,000	**$49,500** (+18%)
Average discount	35%	**21%**
Sales cycle	105 days	**82 days**
Deals closing on the recommended plan	40%	**68%**

THE PLAN

The first 90 days

DAYS 1–30 **Audit your proposals**	What is the first number your buyers see? Which plans actually sell? Where do deals stall?
DAYS 31–60 **Rebuild and train**	Redesign your proposal template around the five rules, write the CFO one-pager, and train one pilot sales team.
DAYS 61–90 **Test it**	Run the new format against your current one. Compare deal size, discount and cycle length, then roll out what works.

WHAT TO MEASURE

MEASURE	WHAT IT TELLS YOU	TARGET
Average deal size	Revenue per closed deal	15% higher
Average discount	How much value you give away	10 points lower
Plan mix	Share of deals on the recommended plan	Rising
Sales cycle	Days from qualified lead to signature	15% shorter

GUARDRAILS

Where this goes wrong

Fake list prices. An anchor nobody ever pays is a lie, and buyers find out. In some markets it also breaks consumer and competition law.

Winning the deal, losing the renewal. B2B relationships run for years. Any framing that would embarrass you if the buyer saw how it was built will cost you more at renewal than it earned at signature.

Over-engineering the choice. If your plans need a diagram to understand, you have added confusion, not clarity. Keep the comparison simple.

CLOSING

Back to Meera

Meera didn't need a lower price. She needed a one-page answer to the CFO's two questions, and a proposal that made the cost of waiting impossible to ignore. Give her that, and the meeting you're not in starts to go your way.

Don't sell to your champion. Arm them.

CONTINUE READING

The Spreadsheet Always Wins	Sets out the principles of choice design that this paper applies to proposals and pricing.

SOURCES

References

Ariely, D., Loewenstein, G., & Prelec, D. (2003). "Coherent arbitrariness": Stable demand curves without stable preferences. *The Quarterly Journal of Economics*, 118(1).

Gartner. Research on B2B buying groups and the buying journey.

Huber, J., Payne, J. W., & Puto, C. (1982). Adding asymmetrically dominated alternatives: Violations of regularity and the similarity hypothesis. *Journal of Consumer Research*, 9(1).

Kahneman, D., & Tversky, A. (1979). Prospect theory: An analysis of decision under risk. *Econometrica*, 47(2).

Nagle, T. T., & Müller, G. (2017). *The Strategy and Tactics of Pricing* (6th ed.). Routledge.

Tversky, A., & Kahneman, D. (1974). Judgment under uncertainty: Heuristics and biases. *Science*, 185(4157).

ABOUT BRAIN INTERACTS

Brain Interacts is a team analytics and behavioral analysis company. We build Corporate Brain and work with organisations on culture studies, root-cause analysis, and behavior-led operating design.

Email
support@braininteracts.com

Web
braininteracts.com